Nicole and Jimmy aren't the only ones who didn't understand how their ARMs worked. In fact, millions of homeowners in recent years were stunned to see their monthly payments shoot up after their ARMs adjusted. This, indeed, was one of the primary contributors to the mortgage crisis. That's not to say that ARMs are pure evil. They can make sense if you need to keep mortgage payments down for a year or two, for example. But you absolutely need to be aware of the worst-case scenario and see if you could handle it. Here is what Nicole, Jimmy, and all prospective ARM customers need to know:

- **The benchmark the ARM rate is pegged to.** Your ARM's rate fluctuates based on ridiculously named benchmarks like "LIBOR" or the "One-Year Treasury Constant Maturity." Know which one your ARM is tied to.
- **The introductory or "teaser" rate.** Sometimes a lender will offer you a low initial interest rate for the first year or two. Don't let this rate fool you. In the case of Nicole and Jimmy, 5% was the initial rate. Their ARM was pegged to the LIBOR, which was 5.5% when they got their loan. So when their ARM adjusts for the first time, the new rate they pay will be based on the current rate of the LIBOR plus a fixed number of percentage points (typically two to three), called a margin. Nicole and Jimmy's margin is three percentage points.
- **The cap.** With an ARM you will need to be sure you can afford the worst-case scenario. Most ARMs have an annual cap, which is the maximum amount the rate can increase in any one year. Nicole and Jimmy's ARM has an annual cap of two percentage points. Here's why the cap protects them somewhat. If LIBOR falls to 5.25% at adjustment time, the lender would ordinarily add three percentage points (the margin) to it, resulting in a new rate of 8.25%. But